Sample Question Paper-1

(Specimen Paper issued by CISCE dated 12th July 2022)

ECONOMICS

Class-12

SOLVED

Time Allowed: 3 hours

Maximum Marks: 80

General Instructions:

1. *Answer all questions in Section A, Section B and Section C.*
2. *Section A consists of objective/ very short answer type questions.*
3. *Section B consists of short answer questions.*
4. *Section C consists of long answer questions.*
5. *The intended marks for questions or parts of questions are given in brackets [ ].*

Section - A [16 Marks]

Question 1.

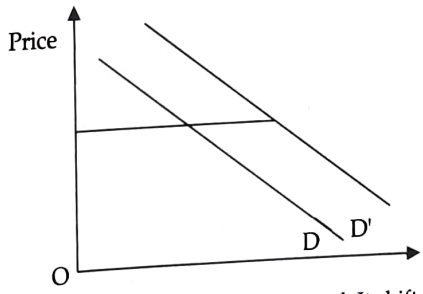
(i) Indifference curve is convex to the origin due to: [1]

(a) Axiom of transitivity.
(b) Law of DMU.
(c) Law of DMRS.
(d) Axiom of non-satiation.

(ii) When supply of a commodity increases by 24% following the rise in price by 8%, supply curve will be: [1]

(a) positively sloped with positive intercept.
(b) positively sloped with negative intercept.
(c) horizontal.
(d) parallel to price axis

(iii) [1]



In the figure given above, **D** is demand curve for normal good. It shifts to **D'** which is a case of:

(a) extension of demand due to change in price level.
(b) increase in demand due to rice in expected future price of the commodity.
(c) contraction of demand due to increase in price of the substitute.
(d) increase in demand due to rise in price of the complimentary good.

(iv) A demand curve parallel to X axis signifies: [1]

(a) perfectly elastic.
(b) perfectly inelastic.
(c) elastic.
(d) inelastic.

(v) Which one of the following is a pair of direct taxes? [1]

(a) Excise duty and Wealth Tax
(b) Service Tax and Income Tax
(c) Excise Duty and Service Tax
(d) Wealth Tax and Income Tax

(vi) Which one of the following is included in the calculation of National Income? [1]

(a) Transfer Earnings
(b) Sale proceeds of Shares and Bonds
(c) Black Money
(d) None of the Above

(vii) Indian Railways charges lower freight rates for transporting essential products like food, coal etc., as compared to freight charges for other products like T.V., Air coolers etc. This is an example of: [1]

(a) Price ceiling. (b) Price discrimination.

(c) Price control. (d) Floor pricing.

(viii) A firm produces its profit maximising level of output only when: [1]

(a) MR = AR (b) MR > MC

(c) AR < MR (d) MC > MR

(ix) Complete the following table: [1]

INCOME (Y) ₹	CONSUMPTION (C) ₹	MPC ₹	MPS ₹
8000/-	6800/-		
10000/-	8000/-		

(x) What is *investment multiplier*? [1]

(xi) Mention any *two* sources of receipts from tax revenue of government budget. [1]

(xii) State whether the following statement is True or False. Give *one* reason for your answer. [1]
Undistributed profits are not a part of domestic factor income.

(xiii) An oligopolist has an indeterminate demand curve. What is the reason for this feature of Oligopoly? [1]

(xiv) Why is AR=MR=P a horizontal straight line under perfect competition in the short run? [1]

(xv) What does 0<c<1 signify? [1]

(xvi) What is meant by *autonomous consumption*? [1]

Section - B [32 Marks]

Question 2.

(i) The following headline appeared in the newspaper – [2]
"Crop damage in Himachal Pradesh sent tomato prices soaring in Delhi." Analyse the statement with reference to the relationship between price and supply.

(ii) The initial demand for a commodity was 100 units. With a rise in price by ₹ 5, the demand for the quantity decreases by 5 units. The elasticity of demand is 1·2. Calculate the price before the change in demand. [2]

Question 3.

(i) State *any two* differences between a *direct tax* and an *indirect tax*. [2]

(ii) Refunding and Debt conversion are two methods of Debt redemption. Briefly explain these two methods of debt redemption. [2]

Question 4.

(i) What is *marginal cost* of a firm? [1]

(ii) Calculate Total fixed cost, Marginal cost and Average Cost from the following data: [3]

Output (Units)	0	1	2	3	4
Total cost (₹)	100	240	360	540	620

Question 5.

(i) Explain *any two* features of Perfect Competition. [2]

(ii) What is meant by *intense competition* under Oligopoly? [2]

OR

(i) Explain the equilibrium of a firm when it enjoys supernormal profit in the short run under perfect competition. [4]

Question 6.

(i) In the short run under perfect competition, a firm should produce if and only if P or AR ≥ AVC. Justify. [2]

(ii) Why do firms earn normal profit in the long run under Perfect competition? [2]

Question 7.

(i) What is meant by *inflation*? Mention the types of Inflation. [2]

(ii) Explain the role of 'repo rate' in reducing this gap. [2]

Question 8.

(i) Illustrate the process of credit creation by Commercial banks with the help of a hypothetical numerical example. [2]

OR

(ii) How does Central bank control credit by Qualitative methods? [2]

Question 9.

Explain the equilibrium level of income and output determination by Aggregate demand and Aggregate supply approach with the help of a diagram. [2]

Section - C [32 Marks]

Question 10.

(i) State the *law of variable proportions*. Explain its three stages using a diagram. [6]

(ii) Briefly explain why the producer is comfortable in the second stage of production. [2]

Question 11.

(i) Differentiate between *total utility* and *marginal utility*. [2]

(ii) Explain the Consumer's equilibrium through Indifference curve approach with the help of a diagram. [6]

OR

(ii) Differentiate between *increase in demand and contraction of demand* with the help of diagrams. [2]

(ii) Explain *four* properties of Indifference curves. [6]

Question 12.

(i) What is the difference between GDP_{mp} and NNP_{fc}? [2]

(ii) Calculate *Domestic Income* and *National Income* from the following information: [6]

	Items	₹ (in Crore)
(i)	Rent	120
(ii)	Interest	15
(iii)	Profits	45
(iv)	Wages & Salaries	330
(v)	Consumption of fixed capital	150
(vi)	Factor income earned abroad	30
(vii)	Factor income paid abroad	60
(viii)	Mixed income of self-employed	360
(ix)	Employer's contribution to social security schemes	30

OR

(i) Differentiate between *personal income* and *national income*. [2]

(ii) Calculate the GNP_{mp} and NDP_{fc} from the following data: [6]

	Items	₹ (in Crore)
(i)	Government final consumption expenditure	800/-
(ii)	Net factor income earned from abroad	(-) 10/-
(iii)	Import	300/-
(iv)	Export	250/-
(v)	Net Indirect taxes	70/-
(vi)	Private final consumption expenditure	1200/-
(vii)	Net domestic capital formation	385/-
(viii)	Consumption of fixed capital	85/-

Question 13.

Read the passage given below and answer the questions that follow.

India is predominantly an agriculture based country. It is the second largest producer of wheat in the world and wheat export is also an important component in its international business transactions. Recently, Indian Government put a ban on the export of wheat to other countries to control inflation in the country. This decision of Indian Government may decrease the flow of foreign exchange in credit side of the balance of payments of our country in comparison to the debit side of it. This may affect the Balance of Payment as India has been following flexible exchange rate system, to some extent, since 1991-92.

(i) What is meant by *balance of payments*? [1]

(ii) State *any two* causes of adverse balance of payments. [2]

(iii) In the context of international business relations, what does *flexible exchange rate system* mean? [2]

(iv) What is meant by *net exports*? [2]

(v) What economic variables are measured along x-axis and y-axis for the determination of foreign exchange rate? [1]